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STATE-WAR-NAVY COORDINATING SUBCOMMITTEE
FOR THE FAR EAST

POST-SURRENDER POLICY FOR JAPAN

References: a. SWNCC 150 Series
b. SFE 107 Series
c. Minutes of SFE 53rd Meeting
d. Minutes of SFE 55th Meeting

Note by the Secretary

1. At their 55th meeting, 17 December 1945, the Subcommittee approved SFE 107/3 after amendments which are incorporated in the enclosure.

2. The approved report was forwarded to SWNCC on 18 December 1945.

A. F. Richardson
Commander, USN
Acting Secretary

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ENCLOSURE

MEMORANDUM FOR THE UNITED STATES REPRESENTATIVE ON THE FAR EASTERN ADVISORY COMMISSION

POST-SURRENDER POLICY FOR JAPAN

1. The State-War-Navy Coordinating Committee has reviewed the paper of the Far Eastern Advisory Commission entitled "Post-Surrender Policy for Japan", enclosed with your letter of December 5, 1945. The following memorandum has been prepared for your guidance in negotiating in the Commission on behalf of the United States Government before the Commission takes final action on the paper.

2. In presenting these recommendations for your guidance it is expected that you will endeavor in the negotiations with the other representatives on the Commission to obtain unanimous agreement for their adoption. The substance of the recommendations is to be achieved in all cases, if possible. However, it is realized that this result may not be possible in all cases. For this reason certain items in this memorandum are indicated

(a) as desirable but not essential (in which case the views of the United States should be advanced but not vigorously pressed);

(b) as of substantial importance (in which case the views of the United States should be vigorously pressed, but not insisted upon in all events).

In two or three items the adoption of the recommendations is stated to be essential and will be insisted upon as a prerequisite to approval by the United States of the Post-Surrender Policy for Japan.

3. You should feel at liberty to concur in changes in phrasing throughout the document, if necessary to harmonize the views of the United States and other Governments.

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4. Appendix. (page 82, SWNCC 150/7/D)

It is suggested that it would be desirable to delete the phrase "which will also indicate the nature and extent of the reserve authority of the Supreme Commander". The inclusion of this phrase would appear to prejudge the issue as to the character of the authority of the Supreme Commander and the further issue as to whether any such "reserve" authority should be lodged in the Supreme Commander, in the United States, or elsewhere. This point, however, is not regarded as essential and should only be advanced by you in the event that this language is questioned by the representative of another nation.

5. Preamble. (page 83, SWNCC 150/7/D)

4th paragraph

There is no objection to substitution of the words "tradition of militarism, ambition of conquest," for the words "will to war, their plan of conquest," as proposed by the representative of China.

6. Part I - Ultimate Objectives. (page 84, SWNCC 150/7/D)

2nd paragraph

Subparagraph (a) may be amended to read as follows:

"(a) Japan's sovereignty will be limited to the islands of Honshu, Hokkaido, Kyushu, Shikoku and such minor outlying islands as may be determined, ~~in accordance with~~ pursuant to the Cairo Declaration and ~~other binding~~ in accordance with future international agreements, accepted as binding."

This suggestion is made in an effort to meet the objections to the present language advanced by the nations not signatory to the Cairo Declaration while giving effect to the desire of the nations signatory thereto that specific reference to the Cairo Declaration should be included.

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7. Part II - Allied Authority (page 86, SWNCC 150/7/D)

2. Relationship to Japanese Government

2nd paragraph

It is suggested that the first sentence be amended to read as follows:

"The Supreme Commander will exercise his authority through Japanese governmental machinery and agencies, including the Emperor, but only to the extent that this satisfactorily furthers the objectives and policies stated above herein."

This change is desirable and is recommended for the reason that it may be desirable to utilize Japanese governmental machinery and agencies to further objectives or policies which are stated or are implicit elsewhere in the document.

The representative of India has proposed deletion of the final sentence of this paragraph. You are advised, however, that it would be substantially important to retain this sentence with the addition of the words "or government" after the words "the use of force by the Japanese people". The Japanese government should certainly be permitted to use force, if necessary, against reactionary or "Black Dragon society" movements which might obstruct the establishment of a democratic Japan. Moreover, since the sentence in question appeared in the original United States Initial Post-Surrender Policy for Japan (SWNCC 150/4/A) its complete deletion might appear to the public as indicating that the use of force was not now to be permitted in order to bring about the desired changes and such a construction might raise unfavorable comment.

8. Part II - Allied Authority (page 86, SWNCC 150/7/D)

3. Protection of United Nations Interests,

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It is recommended that this section be amended to read as follows:

"It shall be the duty of the Supreme Commander to protect the interests, assets and rights of all ~~Powers which have participated in the war against Japan and of~~ United Nations and their nationals where such protection does not interfere with the fulfilment of the objectives and policies of the occupation."

It is considered desirable that the proposed reservation, while perhaps implicit in the powers of the Supreme Commander, should nevertheless be specifically expressed to avoid misunderstanding.

9. Part IV - Economic (page 89, SWNCC 150/7/D)

1. Economic Demilitarization.

The second paragraph should be amended to read as follows:

"Therefore, a program will be enforced containing the following elements, among others~~,~~: the immediate cessation and future prohibition of production of all goods designed for the equipment, maintenance, or use of any military force or establishment; the imposition of a ban upon facilities for the production or repair of implements of war, including naval vessels and all forms of aircraft; the institution of a system of inspection and control designed to prevent concealed or disguised military preparation; the elimination in Japan of those industries or branches of production which would enable Japan to rearm for war and which are not necessary for the purpose of sustaining her economy; and the prohibition of research and instruction ~~likely to result in~~ directed to the development of war-making power. Japan shall be restricted to the maintenance of those industries which will sustain her economy and permit the exaction of just reparations in kind."

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The change in punctuation is desired for clarification. It is considered that the expression "elimination .... of .... industries .... which would enable Japan to rearm for war," is excessively broad since it would entail elimination of types of industrial activity without which a viable Japanese economy could not be established or maintained. It must be recognized that in any peaceable economy industrial elements exist which by conversion could be used for rearmament. It is the view of the United States, however, that it is essential that the Japanese economy be established on a sound basis. For this reason the inclusion of the qualifying phrase "and which are not necessary for the purpose of sustaining her economy" - a return to substantially the wording of the Potsdam Declaration - is regarded as essential in substance. For the same reason it is considered that a prohibition of research and instruction "likely to result in" the development of war-making powers is unduly broad. For example, almost any research in the pure sciences may be considered from one point of view as likely to result in such development. The United States considers the suggested modification of this last quoted language to be extremely desirable but not necessarily essential.

10. Part IV - Economic (page 90, SWNCC 150/7/D)

2. Promotion of Democratic Forces.

It is strongly recommended that the first paragraph be amended to read as follows:

"Labor Oorganizations ~~of labor~~ and other organizations in industry and agriculture, organized on a democratic basis, shall be encouraged.

"Policies shall be laid down with the object of insuring a wide and just distribution of income and of the ownership of the means of production and trade."

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The foregoing changes in language are regarded as of substantial importance. The corresponding provision of SWNCC 150/4/A was intended to bring about the formation on a democratic basis, not only of workers organizations, but of cooperatives and trade associations in industry and agriculture. The present language limits the provision to organizations of labor. In view of the importance of other types of associations, in bringing about and maintaining desired economic reforms in Japan, it is felt that they should be specifically included.

Since the second sentence of this paragraph relates to policies of all kinds, it should be treated as a separate paragraph. This change is regarded as desirable but not essential.

11. Part IV - Economic (page 90, SWNCC 150/7/D)

2. Promotion of Democratic Forces

It would be desirable to amend subparagraph (a) of the third paragraph to read as follows:

"(a) To prohibit the retention in important positions in the economic field of individuals who ~~because of their past associations~~ cannot be trusted to direct Japanese economic effort solely towards peaceful ends; and"

It is clear that there are grounds other than "past associations" which may require such a prohibition.

With respect to subparagraph (b) of the third paragraph, it is understood that the representatives of the United Kingdom and of France may request a revision of language. The United States would not object to a revision of language providing that the essential meaning of this subparagraph or of the corresponding paragraph of SWNCC 150/4/A is retained. It is the policy of the United States generally that cartels and large monopolistic combinations are to be eliminated. A concession on this point in relation to Japan might have serious adverse effects in the implementation of this policy in Germany. The retention of the substance of at least

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the corresponding paragraph of SWNCC 150/4/A is therefore regarded as essential. It is also considered essential that the Supreme Commander should not be restricted as to the phasing or timing of the process of dissolution of the large industrial and banking combinations and that in any revision of this subparagraph no such restrictions should be incorporated.

12. Part IV - Economic (page 90, SWNCC 150/7/D)

3. Resumption of Peaceful Economic Activity.

It is recommended that the following sentence, which appeared in the corresponding provision of SWNCC 150/4/A be reinstated as the concluding sentence of the first paragraph:

"The Allies have no intention of imposing conditions which would prevent the accomplishment of these tasks in due time."

The reinstatement of this language is regarded as of substantial importance in view of the fact that the establishment of a viable Japanese economy is regarded by the United States as essential to peace and stability in the Far East. With this in mind, specific advice should be given to the Japanese that the achievement of this objective will not be discouraged by the Allies.

13. Part IV - Economic (page ~~90~~ 91, SWNCC 150/7/D)

3. Resumption of Peaceful Economic Activity.

Subparagraph (d) of the third paragraph should be amended to read as follows:

"(d) To make ~~such~~ provision for the needs of the Japanese population, ~~as may be deemed reasonable by the Allied authorities in the light of supplies available and obligations to other peoples.~~"

The foregoing change in language is deemed of substantial importance for the following reasons:

(1) The third paragraph of Section 3, taken as a whole, constitutes only a directive to the Japanese government and re-

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lates only to the internal economy of Japan. Japanese import and export trade is dealt with in Section 6 of Part IV, Economic. The revised language is designed to avoid any confusion that might arise on this score. It is also intended to emphasize the fact that so far as the internal Japanese economy is concerned, the Japanese Government will be required to provide for the needs of the Japanese population from their own resources subject always as a prior requirement to the delivery of such reparations as are exacted pursuant to agreement by the Allied Governments.

(2) The requirement as to approval "by Allied authorities" should be deleted for the reason that this would require the governments of the Allied nations to take over supervision of the production programs instituted by the Japanese which they would doubtless not desire to do. The opening clause of the paragraph requires such programs to be subject to the approval of the Supreme Commander, which is entirely appropriate and conforms to the basic policy that the implementation of occupation policies is the responsibility of the Supreme Commander.

14. Part IV - Economic (page 91, SWNCC 150/7/D)

4. Reparations and Restitution.

Subparagraph (b) of the first paragraph should be amended to read as follows:

"(b) Through the transfer of such goods or capital equipment and facilities as ~~exist or may in future be produced in Japan and~~ should, ~~in the opinion of~~ under policies set by Allied authorities, be made available for this purpose. No form of reparation shall be exacted which will interfere with or prejudice the program for Japan's demilitarization, defraying the cost of the occupation and the maintenance of a minimum civilian standard of living."

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The Potsdam Declaration states that "Japan shall be permitted to maintain such industries as will sustain her economy and permit the exaction of just reparations in kind....." Recent reports, however, have raised a grave doubt in the minds of many qualified persons as to the feasibility of exacting reparations from current production. The destruction of Japan's industry is so extensive that substantial reparations from current production could only be obtained as a result of very large credits advanced to Japan for the purchase of capital goods. No nation seems disposed at this time to advance such credits for this purpose. In addition, the desirability of affording to Japan the opportunity of developing large foreign markets, (which would result from a program of reparation payments from current production) is highly questionable. For these reasons the United States regards it as of substantial importance to eliminate from this subparagraph the words "exist or may in future be produced in Japan and". Such elimination would leave the question open for the extensive consideration that will be required for this issue in the deliberations of the Inter-allied Reparations Commission.

The other amendments indicated above are regarded by the United States as essential in substance. Use of the phrase "in the opinion of Allied authorities" would indicate a departure from the principle of the unified control lodged in the Supreme Commander for the implementation of policies agreed upon among the Allied nations. The prohibition of reparations which would interfere with or prejudice defraying the cost of the occupation and the maintenance of a minimum civilian standard of living is deemed essential to insure that the United States is not required to bear the burden of occupation costs to the extent that these can be defrayed by the Japanese, and to express the fact, agreed to by all the Allied nations, that a minimum standard of living must be maintained in order to prevent internal disturbances which would defeat the purpose of the occupation.

15. Part IV - Economic (page 92, SWNCC 150/7/D)

4. Reparations and Restitution.

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The second paragraph of this section does not appear in SWNCC 150/4/A. It reads as follows:

"In the allocation and transfer of property abroad for reparations, special consideration shall be given to the needs of those Allied Powers which suffered heavily as a result of Japanese aggression."

It is considered essential that this paragraph be deleted for the reason that the entire issue raised by it will be the subject of exhaustive consideration by an Inter-Allied Reparations Commission and should be neither treated summarily, nor prejudged, prior to a consideration of all relevant facts.

16. Part IV - Economic (page 92, SWNCC 150/7/D)

4. Reparations and Restitution.

The third paragraph of this section should be amended to read as follows:

"Restitution.

Full and prompt restitution will be required of all identifiable looted property~~.~~ ~~1~~Looted, property includes property delivered under duress, or paid for since the outbrook of hostilities in ~~worthless~~ Japanese or puppet currency."

The changes indicated are regarded as of substantial importance for clarification. The term "looted" in its technical sense includes not only property which has been paid for in worthless currency or delivered under duress but also property obtained by other methods of spoliation. The rephrasing is intended to prevent any inference that the right of restitution is to be limited.

17. Part IV - Economic (page 92, SWNCC 150/7/D)

6. International Trade and Financial Relations.

The first paragraph of this section should be amended to read as follows:

"Eventual Japanese participation in world trade relations shall be permitted. During occupation and

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under suitable controls and subject to the prior requirements of the peoples of countries which have participated in the war against Japan, Japan will be permitted to purchase from foreign countries raw materials and other goods that it may need for peaceful purposes. Japan will also be permitted under suitable controls to exports goods to pay for approved imports. Exports other than those directed to be shipped on reparation account or as restitution may be made only to those recipients who agree to provide necessary imports in exchange or agree to pay for such exports in foreign exchange usable in purchasing imports."

The sentence added above, exclusive of the last four words, appeared in SWNCC 150/4/A in the section dealing with reparations. It appears to have been inadvertently omitted from the paper prepared by the Far Eastern Advisory Commission. Its inclusion is regarded as of substantial importance by the United States to prevent a burden falling on the United States in the financing of imports that are not paid for by the Japanese. Since basically it deals with foreign trade rather than reparations, it may logically be placed in the position indicated above, rather than in the section on reparations.

18. Part IV - Economic (page 93, SWNCC 150/7/D)

8. Equality of Opportunity for Foreign Enterprise.

The language of this section should be amended to read as follows:

"~~The Japanese authorities shall give a~~All business organizations ~~whether Japanese or foreign~~ of any of the United Nations shall have equal opportunity ~~to~~ engage in the overseas trade and ~~shall be required to give equality of~~ commerce of Japan. Within Japan most favored nation treatment ~~as amongst~~ shall be accorded to all nationals of ~~all states which have actively participated in the war against Japan both in the domestic and the overseas trade and commerce of Japan~~ the United Nations."

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The foregoing revision is regarded as of substantial importance, but not as essential. It is believed to state in clearer language the principle of equality of opportunity provided in the Far Eastern Advisory Commission's draft. The extension of the principle of equal treatment to nationals of all United Nations is desirable, in the view of the United States, as according with the basic principles of its commercial policy. It is of substantial importance to exclude reference to Japanese business organizations as no obligation should be assumed to give Japanese equal treatment with all foreigners during the occupation period.

19. It is noted that the Far Eastern Advisory Commission has omitted from its paper the following language which appears in SWNCC 150/4/A:

> "Although every effort will be made, by consultation and by constitution of appropriate advisory bodies, to establish policies for the conduct of the occupation and the control of Japan which will satisfy the principal Allied powers, in the event of any differences of opinion among them, the policies of the United States will govern."

It is understood that it would be impossible to secure the adoption by the other Allied Governments of such a provision. You are advised however that in the event that the paper prepared by the Far Eastern Advisory Commission, Post-Surrender Policy for Japan, as it may be revised, is concurred in by the governments of all of the nations who are members of that Commission, it is not considered that the omission of the above noted language will have abrogated the existing procedure as to the issuance of directives to the Supreme Commander through the United States Joint Chiefs of Staff. It is understood of course that in the event such a paper is concurred in by the governments of these nations all directives issued will be conformed to the policies laid down in such paper.

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The foregoing observations are intended to guide you in the event that this subject is discussed. It is considered essential that the present method of advising and instructing the Supreme Commander be continued in effect during the interim period until the terms of reference of the Far Eastern Advisory Commission are finally determined. It is also possible that even in the event of the adoption by the participating governments of the Commission's Post-Surrender Policy for Japan, other urgent questions of policy may arise requiring decision. The Appendix to that document in fact states categorically that it "does not deal with all matters relating to the occupation of Japan requiring policy determinations". The necessity of maintaining the present procedures for giving advice to the Supreme Commander in the interim is obvious.